Module 4 - Slide Deck Video Transcription

1 Hi, I'm Jordan Reyes from Tallgrass Advisory, a fictional character presented by an AI avatar, on purpose, because this course is about using AI well and being open about it. Welcome to your first rotation at Velox: Financial Reporting. Priya Natarajan, the CFO, has an earnings call in two weeks and needs to explain the quarter to investors in plain English. Your job is to use AI to help her, and to make sure every number you give her is right.

2 Here's Priya's problem. In the third quarter, Velox's revenue grew, from 326.4 million dollars to 338.0 million. But net income fell, from 38.3 million to 30.1 million. And cash went down too, from 236.0 million to 222.1 million. Priya will be answering analysts' questions live, so she needs to know exactly why, and she needs to know what we don't know. That is the whole assignment: explain the quarter, honestly.

3 To explain a quarter you need all three financial statements. The income statement tells you how the company did over a period of time. The balance sheet tells you what the company owns and owes on one particular day. The cash flow statement tells you where cash came from and where it went. You also get management notes. The statements tell you what happened. Only the notes tell you why.

4 You'll turn those statements into six ratios. A ratio divides one number by another so you can compare periods. Gross margin and operating margin show how much of each sales dollar is left after costs. The current ratio shows whether Velox can pay its near-term bills. Debt to equity compares borrowing with the owners' investment. Days inventory on hand shows how many days of sales sit unsold. Cash conversion shows how much profit turned into cash. The formulas are on your page. Your job is to have AI calculate them, and then check them yourself.

5 First technique: give AI the facts and rules once. A Claude Project keeps two things for every chat inside it: standing instructions you write once, and knowledge files Claude reads each time. Practitioners call these project instructions, or a system prompt, and grounding AI in your own documents. Why it helps: every chat starts from the same place, and you stop retyping or forgetting a rule. Good instructions for reporting cover seven things: the role, the audience,

the output format, a grounding rule, a show-the-calculation rule, a confidentiality rule, and a disclosure line.

6 Let me show you with a made-up example, so I don't give away your assignment. Prairie Tool and Die is a small Velox supplier. I made a Project with four files: three statements and management notes. My standing instructions say: you're a reporting assistant; the reader is a CFO with two minutes; use only the files and say not in the data when they don't say; show the formula, numbers, and result for every calculation; keep customer names inside finance; and end with a disclosure line. Then I asked for the six ratios, with work shown, and what changed.

7 Here's what Claude actually returned for the six ratios. This is real output. For every ratio it gave the formula, the numbers it used, and the result. Gross margin was 13,000 over 52,000, which is 25.0 percent, down from 27.5. Operating margin was 10.0 percent, down from 12.5. The current ratio was 2.47, basically flat. Debt to equity was 13,500 over 26,744, or 0.50, an improvement. Days inventory on hand was 27.1, above the 22 to 26 day target. And cash conversion was 86.6 percent, below the 90 percent target. This is the second technique: show-your-work prompting, which is chain-of-thought applied to calculations. Why it helps: a bare result can only be trusted, but a result with its formula and inputs can be checked line by line.

8 Now I do what you'll do: I check it myself. I take gross margin. The formula says gross profit over revenue. I open the income statement and find gross profit of 13,000 and revenue of 52,000. In a spreadsheet, 13,000 divided by 52,000 is 0.25, so 25.0 percent. Claude's number matches. I did the same for the others, and each one matched the files. I'll tell you two honest things about this output. First, it was longer than the three to five bullets I asked for, so I would tighten it before sending it to a CFO. Second, matching is not the same as being finished. A correct calculation on the wrong number is still wrong, so I always check where the inputs came from. In your assignment, you'll verify two findings this way.

9 Third technique: say who it is for. This is audience-aware prompting, sometimes called tone control. Why it helps: the reader decides what to include and how technical to be, so saying so up front saves you a rewrite. I asked Claude for a sixty-word update for plant supervisors who aren't in finance. It dropped the ratios and the jargon. It said sales grew but steel costs cut into profit, that inventory is about 27 days against a target of 22 to 26, and asked supervisors to watch it. Same facts, different reader.

10 Notice something else. When Claude explained why operating income fell, it said marketing rose 200 and other operating expenses rose 400, and then it said the management notes don't explain either increase. It didn't invent a reason. It listed them under what we do not know and named who could tell us. That's the grounding rule at work: the numbers say what, the notes say why, and anything else is not in the data. AI is very good at inventing a believable reason, so always make it say that.

11 This week's ethics checkpoint is area four of the Velox Responsible AI Policy: transparency and disclosure. Say when and how AI contributed to your work. Look at the last line of every answer I showed you: AI-assisted draft, reviewed by, and then a name. That line says AI helped, and it names a person. The person has to be a real reviewer, never the tool. And the line has to be truthful about how far that person checked. Saying reviewed and verified when someone only read the headline is an over-claim. In Step 4 you'll judge five closing lines, and then you'll write your own.

12 Here's your week. First you'll try one statement in a plain chat. Then you'll learn the techniques and judge five closing lines. Then you'll build your own Velox Reporting Project, have AI calculate six ratios, check two findings yourself, write a one-page explanation for Priya, and add a closing line that says how AI helped. You'll also choose an angle, one of six options for accounting, finance, marketing, management, supply chain, or information systems. They take the same effort, so pick what fits you. Let's get to work.